

Dexia S.A. v Comune di Torino

[2026] EWHC 1401 (Comm); Case No: FL-2024-000016

High Court of Justice, Business and Property Courts of England and Wales, King's Bench Division, Financial List

Jurisdiction

England and Wales

Area of law

Commercial law; contract law; conflict of laws; derivatives and financial instruments; Italian municipal law

Legal question

Whether Dexia is entitled to declaratory relief confirming the validity and enforceability of interest rate swap transactions entered into with Torino under an ISDA Master Agreement; whether Torino lacks capacity under Italian law to enter into the transactions; whether the exclusive jurisdiction clause in the Agreement is valid and enforceable to prevent Torino from pursuing claims in Italian courts; and whether Torino's claims in Italian proceedings have merit.

Key facts

Torino, an Italian municipal authority managing €5 billion in debt, issued municipal bonds (BOCs) in 1998-1999 with variable rate coupons benchmarked to EURIBOR. To hedge exposure to rising interest rates affecting approximately 75% of its debt portfolio, Torino initiated a competitive tender process in 2000. Following advice from Lazard, an independent financial advisor, Torino selected Dexia/Crediop's proposals and entered into interest rate swap transactions in 2001, 2003, and 2006 under a 1992 ISDA Master Agreement governed by English law. The 2006 transactions provided a collar structure until 2009, then fixed rates thereafter until maturity in 2030. Due to the 2008-2009 financial crisis and prolonged ultra-low interest rates, Torino's borrowing costs substantially exceeded what would have resulted from an unhedged position. In June 2024, Torino commenced proceedings in Italian courts seeking damages or declarations of nullity. Dexia responded with declaratory relief claims in English courts in October 2024, which Torino did not defend.

Holding

Mr Justice Baker granted Dexia's declarations, finding that Torino had capacity under Italian law to enter into the transactions, that no advisory relationship existed between the parties, that the exclusive jurisdiction clause in the ISDA Master Agreement validly conferred exclusive jurisdiction on English courts, and that Torino's pursuit of Italian proceedings breached that clause. The court found that the transactions were simple, non-speculative hedging instruments that served Torino's legitimate debt management strategy. Torino, a wealthy and sophisticated municipal authority with independent financial advisors, proceeded with full knowledge and approval by its Municipal Council and Board. The transactions were properly documented and Torino complied with all payment obligations. The court rejected arguments that the transactions were ultra vires, speculative, or violated Italian mandatory rules. The judgment confirmed that Torino could not have obtained better terms from alternative hedging structures and that the subsequent adverse outcome was a natural consequence of betting against falling interest rates, no different from a homeowner's

decision to fix a mortgage before rates fell. The court proceeded fairly in Torino's absence after finding it had made an informed tactical choice not to participate.

Significance

This decision provides significant clarity on the enforceability of ISDA-governed derivative transactions between English banks and Italian municipal authorities in English courts. It confirms that English courts will uphold exclusive jurisdiction clauses and apply English law to the validity of swap transactions entered into by Italian municipalities, notwithstanding Italian law arguments about capacity or ultra vires conduct. The judgment demonstrates the practical importance of proper contractual documentation and the principle that sophisticated parties cannot rely on hindsight regret about unfavourable market outcomes to void legitimate hedging transactions. The decision is consistent with a series of prior English court decisions involving Italian municipalities and derivative transactions, providing predictability for financial institutions in similar disputes. It reinforces that parties cannot circumvent agreed dispute resolution mechanisms by forum-shopping to their home jurisdiction.

Precedent impact

This decision continues the established line of English authority consistently rejecting challenges by Italian municipal authorities to derivative transactions. The court cited and applied prior decisions in Venezia (Court of Appeal), Emilia Romagna, Brescia, Catanzaro, Busto, and Pesaro, which similarly upheld banks' rights against Italian municipalities. The judgment applies the *Haugesund Kommune v Depfa ACS Bank* principle regarding the 'internationalist' interpretation of capacity in conflicts of law. It confirms the application of Article 3(3) of the Rome Convention (mandatory rules exception) has no application where elements of the transaction connect to multiple jurisdictions. While the Court of Appeal overturned a first instance decision in Venezia finding lack of capacity, the Baker judgment suggests the strength of the factors supporting capacity on the present facts makes such a reversal unlikely here. The decision will likely be persuasive authority in other forum jurisdictional disputes and may influence how Italian courts view the enforceability of similar transactions.

Full judgment URL

<https://www.bailii.org/ew/cases/EWHC/Comm/2026/1401.html>